

MARKET RESHAPE: THAILAND AUTOMOTIVE INDUSTRY TRANSITION ANALYSIS

A Deep-Dive Study into Brand Registration Trajectories, Japanese Market Squeeze, and the Chinese Electric Vehicle Influx (2021 – 2026)

Data Source: Thailand Motor Vehicle Act Registrations (Department of Land Transport)

Temporal Range: Jan 2021 (B.E. 2564) – Apr 2026 (B.E. 2569)

1. Executive Summary

The Thai automotive sector is undergoing its most radical transformation since the 1970s. For decades, Thailand served as a fortress for Japanese automakers, earning the nickname "the Detroit of Asia." However, official registration data compiled between January 2021 (B.E. 2564) and April 2026 (B.E. 2569) reveals a tectonic market shift.

In the Passenger Car category (governed under *Royal Act Category 1: Personal Passenger Cars with up to 7 seats*), **Japanese automotive dominance is experiencing an unprecedented contraction.** In 2021, Japanese brands held an overwhelming **84.98%** market share. By 2025, that share collapsed to **64.01%**, dropping further to **60.29%** in the first four months of 2026.

Conversely, **Chinese original equipment manufacturers (OEMs), driven heavily by aggressive battery electric vehicle (BEV) and plug-in hybrid electric vehicle (PHEV) strategies, are surging.** From a marginal **5.41%** market share in 2021, Chinese brands captured **23.75%** of new passenger car registrations in 2025, expanding further to **29.24%** in early 2026. This re-alignment underscores a multi-tier structural disruption within the Thai market.

Core Trend Metric: Passenger Car Market Share Evolution (Category s9.1)

- **Japanese Brands:** 2021: 84.98% | 2023: 73.08% | 2025: 64.01% | 2026 (YTD): **60.29% (-24.69% drop)**
- **Chinese Brands:** 2021: 5.41% | 2023: 13.59% | 2025: 23.75% | 2026 (YTD): **29.24% (+23.83% gain)**

2. The "Squeeze" and De-acceleration of Legacy Japanese Brands

The contraction of Japanese brands is not uniform; it is a polarized phenomenon. While Tier-1 manufacturers like Toyota have leveraged immense fleet loyalty and hybrid models to consolidate their absolute positions, Tier-2 and Tier-3 Japanese legacy brands are entering a severe contraction phase.

Japanese Brand (สย.1)	2021 (2564)	2022 (2565)	2023 (2566)	2024 (2567)	2025 (2568)	2026 YTD*
TOYOTA	150,133	185,074	197,581	169,682	169,208	69,272
HONDA	84,309	88,863	91,497	83,257	71,510	28,456
ISUZU (Passenger Div.)	83,547	112,507	89,487	48,411	38,838	16,824
MITSUBISHI	35,473	39,662	29,921	24,544	22,419	8,562
MAZDA	35,399	35,911	21,618	10,746	7,718	3,134
NISSAN	27,201	21,412	16,009	9,291	8,290	2,792
SUZUKI	19,791	19,093	12,154	6,659	4,743	1,959

*Note: 2026 YTD indicates historical volume recorded from January through April 2569 (2026).

- **Mazda and Nissan Volatility:** Mazda's annual passenger car registrations shrunk by **78.2%** from 2021 (35,399 units) to 2025 (7,718 units). Nissan exhibited a nearly identical decay trajectory, sliding from 27,201 units in 2021 to 8,290 in 2025 (a **69.5%** reduction).
- **The Mid-Market Erosion:** Suzuki and Mitsubishi are being actively displaced. Suzuki dropped from nearly 20,000 units to under 5,000 units within 4 years. This stems from a core structural gap: these brands historically thrived on the "Eco Car" government program (small internal combustion engines), which has been totally eclipsed by price-parity and tax-incentivized Chinese EVs.
- **Isuzu's Multi-Purpose Squeeze:** Isuzu's passenger car volume (primarily the MU-X SUV registered under สย.1) faced a severe **65.48%** collapse between its 2022 peak (112,507 units) and 2025 (38,838 units), signaling that even the premium family PPV segment is losing ground to larger Chinese electric and hybrid cross-overs.

3. The Influx and Domination of New Chinese Competitors

The primary catalyst for this shift is the aggressive, localized expansion of Chinese electric vehicle brands. Aided by Thailand's EV 3.0 and EV 3.5 government incentive packages Chinese OEMs have transformed from market anomalies into volume leaders.

Chinese Brand (สย.1)	2021 (2564)	2022 (2565)	2023 (2566)	2024 (2567)	2025 (2568)	2026 YTD*
BYD	17	371	30,467	26,847	41,180	16,124
MG	27,123	29,526	28,750	17,054	22,665	10,339
AION (GAC)	0	0	88	4,127	11,969	6,706
JAECOO (Chery Group)	0	0	0	159	8,985	12,010
DEEPAL (Changan)	0	0	0	5,603	8,401	5,195
ORA (Great Wall Motor)	0	3,828	6,746	3,231	6,775	1,940
NETA	0	71	12,777	7,969	3,256	183

**Note: 2026 YTD reflects actual registration inflows from January to April 2569 (2026).*

- **The BYD Supremacy:** BYD's growth is substantial. From 17 vehicles in 2021, it reached **41,180 units** in 2025, effectively holding an **8.13% absolute market share** of the total Thai passenger car market. BYD's volume is heavily fueled by the multi-variant strategy of the *Dolphin*, the *Atto 3*, and the localized introduction of the plug-in hybrid SUV *Sealion 6 DM-i* and the battery-electric *Sealion 7*.
- **The Jaecoo Hyper-Growth Anomaly:** A critical data trend is the explosive introduction of Chery Group's **JAECOO** brand. Entering with just 159 vehicles in 2024, it reached 8,985 in 2025. In the first four months of 2026 alone, Jaecoo registered **12,010 vehicles**, outpacing its entire previous year. This surge is heavily driven by the *Jaecoo 5 EV Long Range Max*, indicating a hyper-aggressive delivery phase of local assembly lines.
- **GAC Aion & Changan Deepal:** GAC's Aion brand expanded from 88 units in 2023 to 11,969 in 2025, while Changan's Deepal premium EV line climbed steadily to 8,401 units in 2025 and 5,195 in early 2026.

4. Resilience and Growth in Luxury & Premium Niches

An intriguing trend observed in the registration logs is that while mass-market mid-tier brands are suffering extreme volatility, luxury and niche premium brands are displaying highly stable, upward, or resilient growth. This highlights a clear economic divergence in the Thai car-buying demographic: high-net-worth consumers remain resilient against macroeconomic factors such as rising household debt and stringent auto-loan rejection rates affecting lower segments.

Premium / Luxury Brand	2021 (2564)	2022 (2565)	2023 (2566)	2024 (2567)	2025 (2568)	2026 YTD*
BMW	9,982	13,572	14,128	12,208	10,582	3,202
MERCEDES BENZ	9,817	13,132	12,884	8,998	8,103	2,417
PORSCHE	1,607	1,695	1,799	1,705	1,825	584
TESLA	222	422	8,206	4,120	4,949	2,761

Porsche has maintained an exceptionally steady upward trajectory, moving from 1,607 units in 2021 to a peak of 1,825 units in 2025, indicating a solid, recurring luxury demand baseline. Meanwhile, **Tesla** stabilized its niche around 5,000 annual units after an initial 2023 surge (8,206 units), facing heavier competition from premium Chinese line-ups such as Changan Deepal, Zeekr, and Xpeng in late 2025 and 2026.

5. Geographic Concentration and Strategic Implications

The geographic breakdown reveals a highly centralized market structure for the new wave of alternative energy vehicles. In 2025 (2568), **57.34% of all BYD registrations** occurred within the Bangkok Metropolitan Region (23,614 units out of 41,180). In contrast, traditional internal combustion champions like Toyota show a more distributed geographic footprint, with Bangkok accounting for a lower **51.99%** of registrations.

6. Strategic Conclusion and Industry Outlook

The data signals that the market contraction for several Japanese brands in Thailand is a direct result of delayed transitions toward localized hybrid and battery-electric portfolios. As Chinese brands establish robust, fully

operational local manufacturing hubs in economic zones like Rayong and Chonburi, the cost optimization will tighten further. Legacy automakers must accelerate the localization of alternative powertrain systems or risk complete marginalization within the next 36 months.